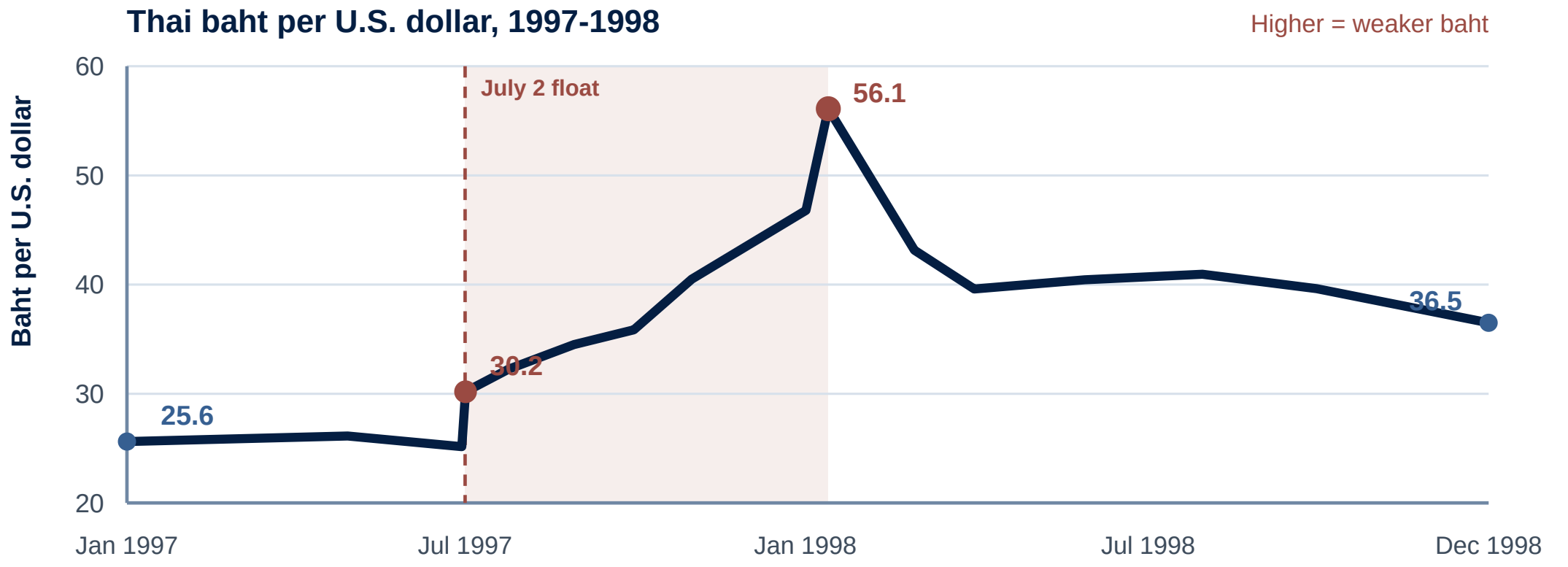
Exchange Rates and Currency Crises

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Thai Baht Collapse of 1997-1998



Source: FRED DEXTHUS, Board of Governors H.10 daily noon buying rates. Selected daily observations plotted from Jan. 2, 1997 to Dec. 31, 19

FRED DEXTHUS, Board of Governors H.10 daily noon buying rates

> A Thai factory in 1996: baht wages, dollar loans, a fixed exchange rate.
>
> The baht then moved from about 25 per dollar to more than 50 within six months, turning dollar debt into a firm-level crisis.

YOUR IB VOICE

QUESTION

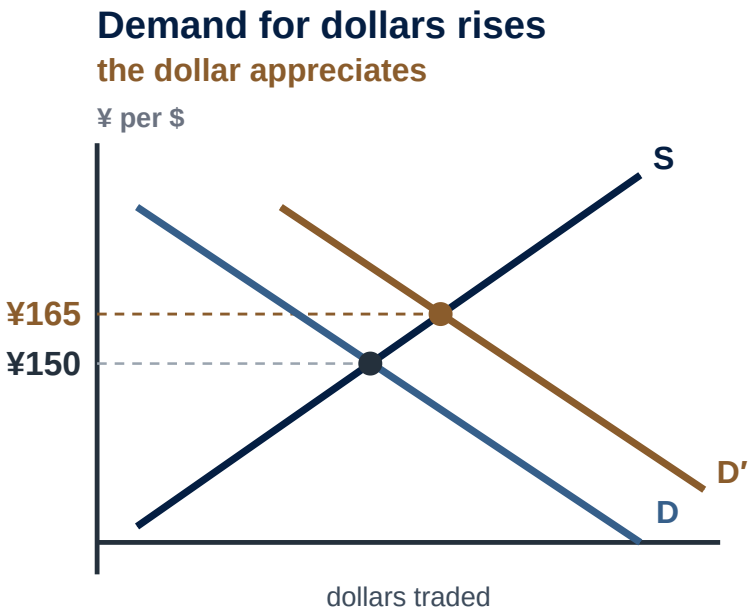
At what point could an actor in Blustein’s account have changed the course of Thailand’s crisis? Identify the actor, the action they could have taken, and why they failed to take it.

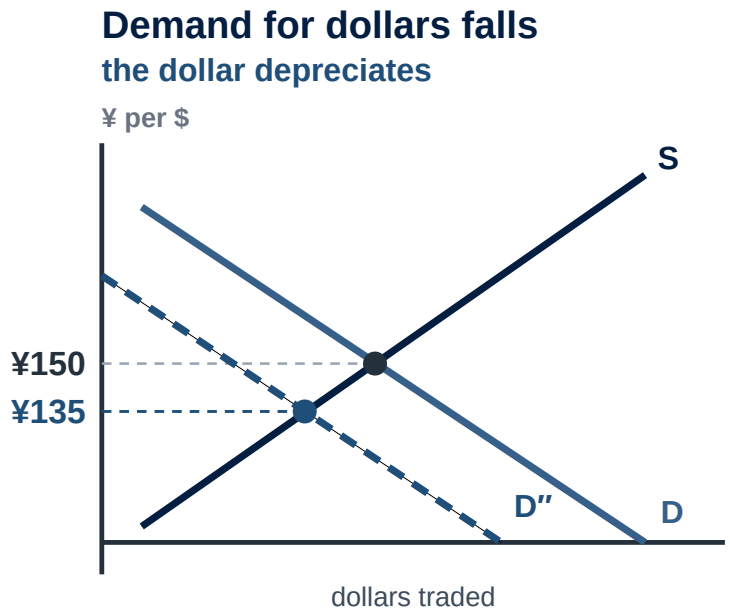
10 minutes · Individual · Notes permitted · No internet or LLMs

Commit to an answer before we reconstruct the sequence.

Some Background

Supply and demand set a floating exchange rate





Demand for dollars

Japanese buyers exchange yen for dollars to purchase US goods and assets.

Supply of dollars

Americans exchange dollars for yen to purchase Japanese goods and assets.

> The nominal exchange rate is the price of one currency in another. More yen per dollar means dollar appreciation and yen depreciation.

The IMF lends when a country cannot meet its external payments

- Temporary financing goes to member governments facing external-payment problems.
- The government and IMF negotiate policy conditions intended to restore reserves and access to financing.
- The IMF does not rescue individual firms or repay their private loans.

> The central dispute concerns the conditions attached to IMF financing.



IMF headquarters · Ajay Suresh / Wikimedia Commons · CC BY 2.0

What Went Wrong?

A fixed rate made dollar debt look safe

25

baht per dollar, held for more than a decade

Every morning the Bank of Thailand set the rate and bought or sold dollars to maintain it.

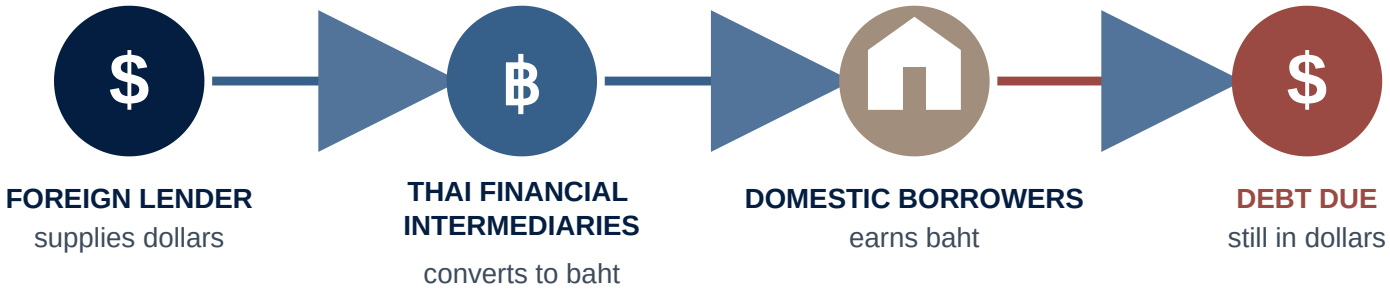
Japanese carmakers and Thai exporters planned around it.

> A fixed rate removes the exchange-rate calculation from every decision. This reduces investment risk, as long as the rate is credible.

Dollar borrowing created a currency mismatch

$56 billion was borrowed through the Bangkok International Banking Facilities by 1997, three times the 1994 level.

The facility, launched in 1992 with IMF support, made foreign-currency borrowing cheaper.



> Borrowers and lenders treated the peg as protection.

Cheap foreign money flowed into property and stocks

Credit to Thailand’s private sector: **$89 billion in 1992, $204 billion in 1996.**

Bangkok office space added in 1996: **600,000 square metres, half empty.**

Official bad-loan rate by May 1997: **12 percent.**

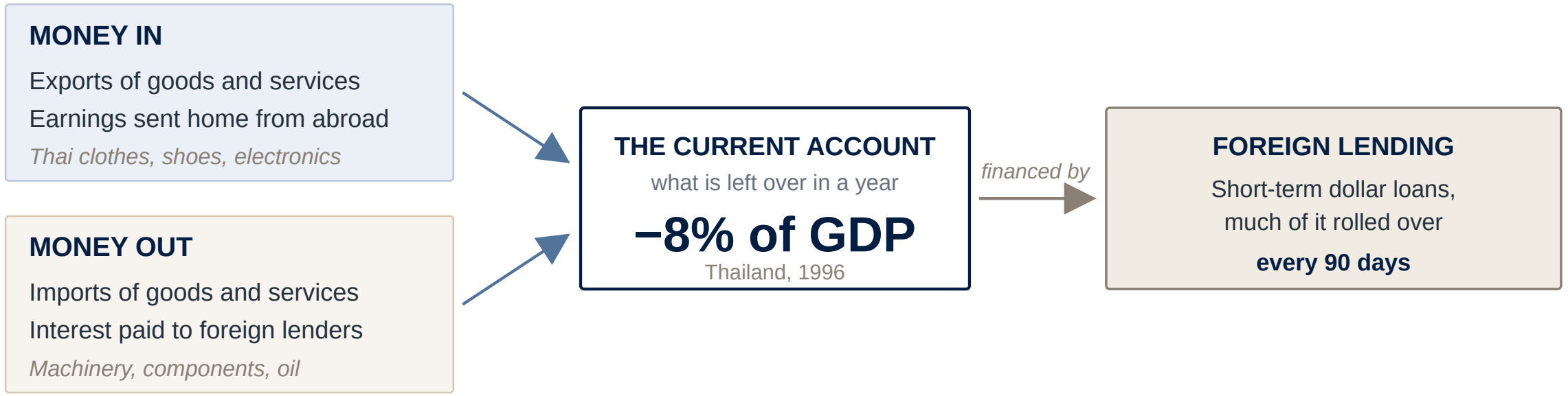
> The assets earned baht. The debts were owed in dollars.



Sathorn Unique Tower · Chainwit. / Wikimedia Commons · CC BY-SA 4.0

As the dollar rose, Thai exports became less competitive

Pegged to a rising dollar from 1995, Thai clothes, shoes, and electronics became more expensive on world markets. Export growth in 1996: flat.



Short-term foreign lending financed the deficit. The crisis began when lenders stopped rolling over those loans.

> A fixed rate imports the movements of the currency it is fixed to.

The currency crisis

The warnings came before the reserves ran out



IMF warnings: a January letter, visits in March and May, and advice to adjust the rate and widen the band.

The refusal. Chaiyawat Wibulswasdi, deputy governor of Bank of Thailand, argued that Mexico had tried a controlled devaluation and failed. If 25 will not hold, why would 28, or 30?

> The Bank of Thailand held the peg, but its ability to defend it disappeared.

The reserve headline concealed the cost of defense

EARLY 1997

$38B

published reserves

the visible headline

→

LATE MAY

$23B

committed forward

an off-balance-sheet claim

→

JUNE

≈$2B

usable reserves

after the defense continued

Thai ministers who asked for the number were refused by their own central bank. Fischer was given it in late July, on condition that he tell no one else at the Fund.

> The reported reserve figure did not show how much cash remained available.

Capital controls interrupted short-selling while dollar demand continued

1 Borrow baht

Borrow 25 million baht from a Thai bank

You now owe baht

2 Sell it for dollars

At the pegged rate of 25, **you get $1 million**

The bank must sell at 25

3 Wait for the break

The peg gives way and the rate moves to 32

Baht is now cheaper

4 Buy back and repay

25m baht now costs $781,000
Repay the loan, keep the rest

Profit: about $219,000

Hedge fund

Borrow baht → sell baht → borrowing blocked

Attack interrupted

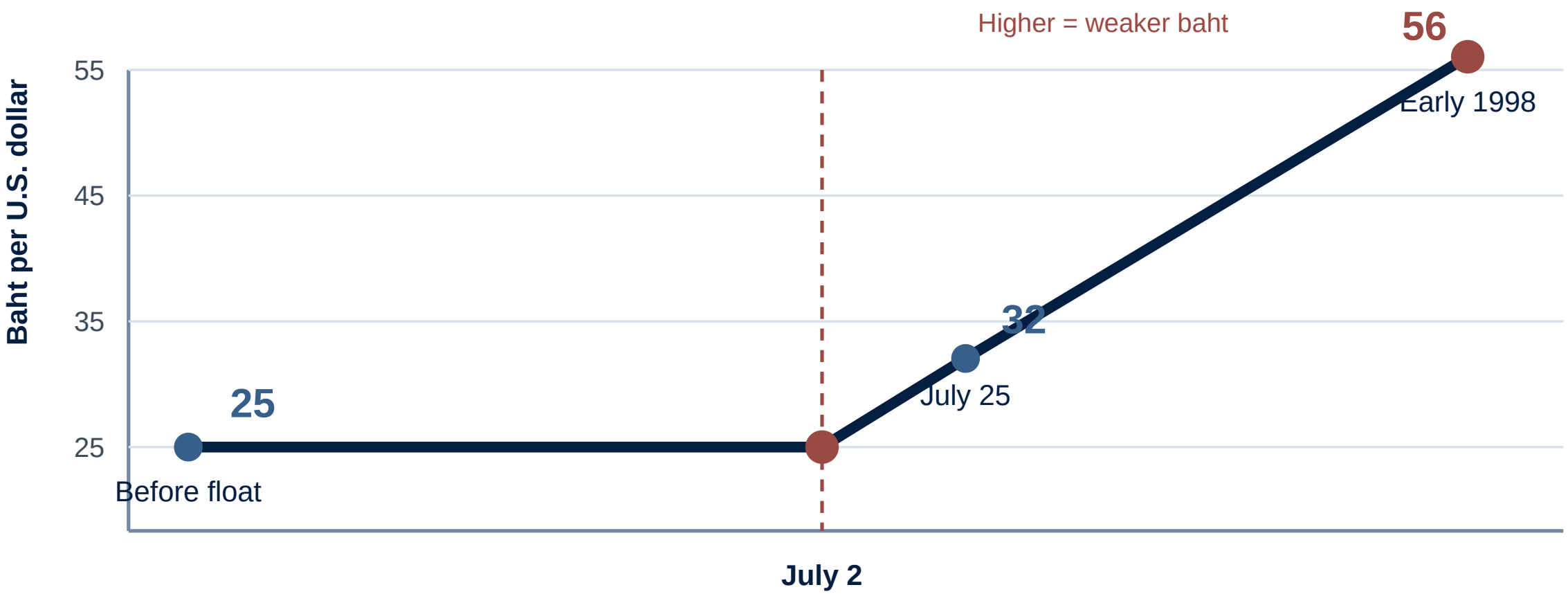
Thai borrower

Dollar debt due → sell baht for dollars → repay loan

Pressure continued

> Domestic dollar demand kept pressure on the baht.

The baht cost of dollar debt more than doubled



Selected milestones from the case. The connecting line shows the direction of change, not daily observations.

A $1 million loan went from 25 million to 56 million baht. Revenue in baht did not move.

Group activity

Rerun the year for one Thai firm

Annual cash flow	Amount
Domestic sales revenue	700 million baht
Export revenue	$12 million
Imported inputs	$16 million
Local wages and other costs	250 million baht
Loan principal due this year	$20 million

At 25, 32, and 56 baht per dollar, calculate:

1. Operating profit before debt repayment
2. The baht value of the $20 million principal
3. Cash remaining after repaying the principal

Could the firm repay the loan from this year’s operations? What risk remains if the loan must be renewed?

The devaluation widened the funding shortfall

All amounts are in millions of baht. Let *r* equal baht per dollar.

Operating profit

$700 + 12r - 16r - 250$

$= \mathbf{450 - 4r}$

Principal repayment

$20 \times r$

$= \mathbf{20r}$

Cash after principal

$(450 - 4r) - 20r$

$= \mathbf{450 - 24r}$

Baht per dollar	Operating profit	Principal repayment	Cash after principal
25	350	500	**−150**
32	322	640	**−318**
56	226	1,120	**−894**

> The firm needs refinancing even at 25. Each one-baht rise in the dollar increases its funding shortfall by 24 million baht.

Aftermath

The rescue demanded austerity from a collapsing economy

−10%

Thai GDP in 1998; unemployment tripled, urban wages fell 8 percent

Thailand first sought bilateral help from Japan and China. Both declined to act outside an IMF-led program.

The $17.2 billion package later included contributions from both. The United States contributed no funds.

The IMF required fiscal measures equal to 3 percent of GDP.

> The current account moved from a deficit of nearly 8 percent of GDP in 1996 to a surplus of nearly 13 percent in 1998 as collapsing domestic demand crushed imports.

The same devaluation, different firms

Exporter

Dollar revenue
Baht costs

The dollar buys more baht.
The firm’s position improves.

Domestic borrower

Baht revenue
Dollar debt

The debt costs more baht to repay.
The firm’s position deteriorates.

> Exchange-rate risk comes from a mismatch among a firm’s revenue, costs, and debt. A forward can lock in the rate for a known dollar payment. Loan renewal remains a separate risk.

Which actor had the clearest opportunity to change the outcome? Why did that actor fail to act?

Industry teams begin today

Teams are assigned on Canvas. Additional details will be provided in a group project briefing, posted on Canvas.